

124 Richmond Underwriting 5

Sensitized

12 Units | NOI \$66,382 | Expense Ratio 64.5% | NOI Margin 35.5%

ASSET CLASS	Multifamily - 12 Units
DOCUMENTS	10 uploaded files
REPORT TIER	Full Underwriting

Executive Summary

Deal overview, operating profile, and primary risk drivers

12-Unit Multifamily

CAPITAL RISK PROFILE

Sensitized

Primary Pressure Point: DSCR of 1.00x constrains refinance capacity below standard lender coverage thresholds

KEY METRICS SNAPSHOT

UNITS

12

OCCUPANCY

100.0%

ANNUAL IN-PLACE RENT

\$186,780

EFFECTIVE GROSS INCOME

\$187,172

OPERATING EXPENSES

\$120,790

NET OPERATING INCOME

\$66,382

EXPENSE RATIO

64.5% (Sensitized)

NOI MARGIN

35.5% (Sensitized)

BREAK-EVEN OCCUPANCY

64.5% (Stable)

DSCR (COMPUTED)

1.00X

KEY UPSIDE DRIVERS

- In-place rents trail market by ~17.4% (observed rent gap).
- Occupancy is 100.0%, reflecting fully stabilized in-place tenancy.
- Operating cushion of 35.5% above break-even occupancy based on in-place performance.

PRIMARY CONSTRAINTS

- Expense ratio is 64.5%, pressuring NOI margin.
- NOI margin is 35.5%, leaving limited buffer for shocks.
- Base case DSCR of 1.00x falls below standard lender coverage thresholds, constraining refinance capacity and limiting debt proceeds under both current and stressed conditions.

CAPITAL RISK PROFILE: SENSITIZED	
Expense Ratio	64.5%
NOI Margin	35.5%
Break-Even Occupancy	64.5%
Operating profile classification based on standardized underwriting thresholds from uploaded documents only.	
Uploaded Files	

This section lists the files uploaded and associated with this report.

- !Rent_Roll_124_Richmond_St_London_ON_MESSY.xlsx - 2026-05-02, 10:00:40 a.m.
- !T12_124_Richmond_St_London_ON_MESSY.xlsx - 2026-05-02, 10:00:40 a.m.
- CapEx_Schedule_124_Richmond_Test.pdf - 2026-05-02, 10:00:40 a.m.
- MESSY_debt-terms_Richmond124_FINAL_v3.pdf - 2026-05-02, 10:00:40 a.m.
- Offering_Summary_124_Richmond_Test.pdf - 2026-05-02, 10:00:40 a.m.
- Property_Tax_Bill_2025_124_Richmond_Test.pdf - 2026-05-02, 10:00:40 a.m.
- UNSUPPORTED_Appraisal_Summary_124_Richmond_Test.pdf - 2026-05-02, 10:00:40 a.m.
- UNSUPPORTED_Market_Rent_Survey_Excerpt_124_Richmond_Test.pdf - 2026-05-02, 10:00:40 a.m.
- UNSUPPORTED_Phase_I_ESA_Summary_124_Richmond_Test.pdf - 2026-05-02, 10:00:40 a.m.
- UNSUPPORTED_Zoning_Letter_124_Richmond_Test.pdf - 2026-05-02, 10:00:40 a.m.

Uploaded Renovation / CapEx Document: Uploaded renovation/CapEx source file acknowledged:
CapEx_Schedule_124_Richmond_Test.pdf. Structured CapEx modeling was not produced because the file was not converted into verified structured renovation inputs. No CapEx amount, renovation scope, rent lift, ROI, or payback calculation has been modeled from that document. Renovation-related figures are excluded from quantitative outputs unless separately shown as structured document-derived inputs.

Refinance Stress Test & Constraint Analysis

DSCR, LTV, and binding-constraint analysis under documented operating and capital constraints

Refinance Stability Classification: Refinance Shortfall Under Stress.

Refinance Proceeds / Debt Balance: 0.80x.

Stressed Proceeds / Debt Balance: 0.55x.

NOI SHOCK	CAP EXPANSION (BPS)	RATE SHOCK (BPS)	MAX PROCEEDS	COVERAGE
-15.0%	0 bps	200 bps	\$520,042	0.55x
-15.0%	50 bps	200 bps	\$520,042	0.55x
-15.0%	100 bps	200 bps	\$520,042	0.55x
-10.0%	0 bps	200 bps	\$550,633	0.59x

FULL REFINANCE SUFFICIENCY (DETERMINISTIC)

METRIC	BASE CASE	WORST CASE
NOI	\$66,382	\$56,425
Cap Rate	6.25%	6.25%
Implied Value (NOI / Cap)	\$1,062,112	\$902,795
LTV-Limited Proceeds	\$796,584	\$677,096
DSCR-Limited Proceeds	\$750,154	\$520,042
Binding Constraint	DSCR-limited	DSCR-limited (Rate/DSCR binding)
Max Proceeds (min of above)	\$750,154	\$520,042
Coverage (Max Proceeds / Debt Balance)	0.80x	0.55x
Worst-Case Drivers (NOI shock Cap expansion Rate shock)	-	-15.0% 0 bps 200 bps

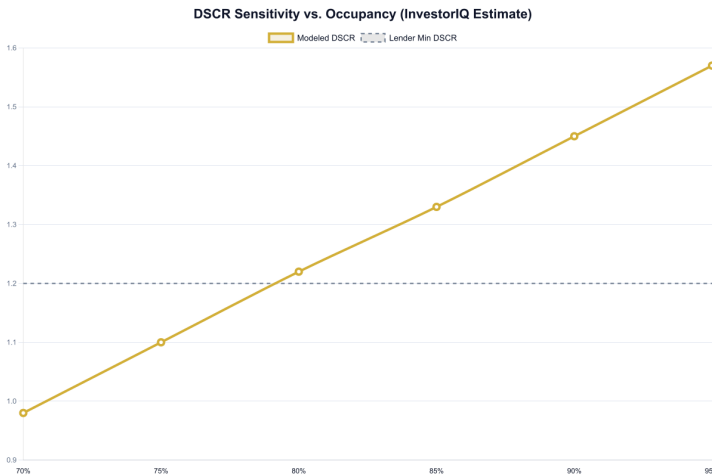
Debt Structure & Financing

DSCR sensitivity, lender thresholds, and refinance constraint analysis

DEBT STRUCTURE SUMMARY

COMPONENT	TERMS
Outstanding Balance	\$937,500
Interest Rate	5.85%
DSCR (T12 NOI)	1.00x
Amortization	30 years

DSCR SENSITIVITY & COVERAGE THRESHOLD ANALYSIS



Note: DSCR is based on current debt service and NOI, and should be interpreted relative to standard lender thresholds and available coverage cushion. It is not impacted by cap rate assumptions.

REFINANCE STRESS TEST & BINDING CONSTRAINT ANALYSIS

CURRENT DEBT COVERAGE & CONSTRAINT SENSITIVITY

RATE SCENARIO	DSCR
Base (5.85%)	1.00x
+100 bps (6.85%)	0.90x
+200 bps (7.85%)	0.82x

Current debt service coverage sensitivity using current debt balance under interest-rate scenarios only. Green = coverage >= 1.25 | Amber = 1.00–1.24 | Red = below 1.00

Unit-Level Rent Positioning & Value Sensitivity

Market-rent gap and implied value sensitivity

UNIT MIX AND RENT POSITIONING

UNIT TYPE	COUNT	AVG SQ FT	AVG IN-PLACE RENT	DOCUMENTED MARKET RENT	MONTHLY RENT GAP
1 Bed	6	613	\$1,173	\$1,395	\$222
2 Bed	6	823	\$1,422	\$1,650	\$228

CAP RATE VALUE INDICATION

CAP RATE	IMPLIED VALUE	PER UNIT
5.0%	\$1,327,640	\$110,637
6.0%	\$1,106,367	\$92,197
7.0%	\$948,314	\$79,026

Derived from reported NOI of \$66,382. Cap rates are standardized framework benchmarks, not document-sourced.

RENT UPSIDE PATHWAY: MARK-TO-MARKET ANALYSIS

Annual In-Place Rent	\$186,780
Annual Market Rent	\$219,240
Annual Gross Rent Upside	\$32,460

IMPLIED VALUE SENSITIVITY AT STABILIZATION

5.0% cap rate	\$649,200
6.0% cap rate	\$541,000
7.0% cap rate	\$463,714

Implied value sensitivity reflects annual rent gap capitalized at the stated cap rate and remains conditional on market-rent capture and occupancy.

Operating Statement (Trailing Twelve Months)

Operating summary based on uploaded financials

INCOME RECONSTRUCTION (TTM)

INCOME LINE ITEM	TTM AMOUNT
Gross Rental Income	\$184,920
Laundry Income	\$3,240
Parking Income	\$4,800
Vacancy Allowance	\$-5,788

OPERATING EXPENSES (TTM)

EXPENSE LINE ITEM	TTM AMOUNT
Property Taxes	\$38,400
Insurance	\$9,850
Repairs & Maintenance	\$22,640
Landscaping & Snow Removal	\$8,300
Utilities	\$27,950
Property Management	\$6,000
Administrative	\$3,200
Garbage & Miscellaneous	\$4,450

NET OPERATING INCOME SUMMARY

METRIC	VALUE
Effective Gross Income (TTM)	\$187,172
Total Operating Expenses (TTM)	\$120,790
Net Operating Income (TTM)	\$66,382
Operating Expense Ratio	64.5%
EGl per Unit (TTM)	\$15,598
OpEx per Unit (TTM)	\$10,066
NOI per Unit (TTM)	\$5,532

Operating Profile

Occupancy, rent level, and operating summary

TOP INCOME DRIVERS (SHARE OF EGI)

LINE ITEM	AMOUNT
Gross Rental Income	\$184,920 (98.8%)
Parking Income	\$4,800 (2.6%)
Laundry Income	\$3,240 (1.7%)

TOP EXPENSE DRIVERS (SHARE OF OPEX)

LINE ITEM	AMOUNT
Property Taxes	\$38,400 (31.8%)
Utilities	\$27,950 (23.1%)
Repairs & Maintenance	\$22,640 (18.7%)

TOP INCOME LINE CONCENTRATION

98.8%

- Top income line concentration is 98.8% of EGI (concentration flag).
- Largest operating expense line item is Property Taxes at 31.8% of OpEx (concentration flag).
- In-place rents trail market by approximately 17.4% (observed rent gap).

Expense Structure Analysis

Expense ratio, drivers, and intensity flags

METRIC	VALUE
Operating Expense Ratio	64.5%
Operating Expense per Unit	\$10,066
NOI per Unit	\$5,532

EXPENSE FLAGS (DETERMINISTIC)

- Operating expense ratio is sensitized ($\geq 55\%$) and elevated ($> 60\%$).
- Top expense line exceeds 30% of OpEx (concentration risk).

TOP 3 EXPENSE DRIVERS

1. Property Taxes: 31.8%
2. Utilities: 23.1%
3. Repairs & Maintenance: 18.7%

EXPENSE RATIO SENSITIVITY

EXPENSE RATIO	IMPLIED OPEX	IMPLIED NOI
50%	\$93,586	\$93,586
55%	\$102,945	\$84,227
60%	\$112,303	\$74,869
65%	\$121,662	\$65,510
70%	\$131,020	\$56,152

Anchored to reported EGI of \$187,172. Standardized threshold scenarios.

EXPENSE COMPOSITION (% OF TOTAL OPEX)

Property Taxes		31.8%	\$38,400
Utilities		23.1%	\$27,950
Repairs & Maintenance		18.7%	\$22,640
Insurance		8.2%	\$9,850
Landscaping & Snow Removal		6.9%	\$8,300
Property Management		5.0%	\$6,000
Garbage & Miscellaneous		3.7%	\$4,450
Administrative		2.6%	\$3,200

NOI Stability Review

Margin, volatility, and income resilience

INDICATOR	VALUE
NOI Margin	35.5%
Expense Sensitivity	35.5%
Break-even Occupancy	64.5%
Rent Roll vs T12 GPR Variance	1.0%

STABILITY DRIVERS (WORST 3)

- 1. NOI Margin 35.5%
- 2. Expense Ratio 64.5%
- 3. Rent Roll vs T12 GPR 1.0%

NOI SENSITIVITY (DETERMINISTIC)

SCENARIO	IMPLIED NOI	NOI MARGIN (IMPLIED)
Expenses +5% (cost shock)	\$60,343	32.2%
Income -5% (revenue shock)	\$57,023	32.1%
Combined Shock (-5% income, +5% expenses)	\$50,984	28.7%

VACANCY BUFFER

METRIC	VALUE
Break-even Occupancy	64.5%
Current Occupancy	100.0%
Occupancy Cushion	35.5 pts
Units That Can Become Vacant	4 of 12

At current occupancy, the property can absorb 4 vacant units before reaching neutral cash flow. Break-even derived from reported T12 totals.

BREAK-EVEN OCCUPANCY BUFFER



Rent Roll Distribution

Occupancy, rent dispersion, and unit mix profile

METRIC	VALUE
Total Units	12
Occupied Units	12
Occupancy	100.0%
Weighted Avg In-Place Rent	\$1,297
Weighted Avg Market Rent	\$1,523
Market Rent Gap (Avg)	17.4%
Annual In-Place Rent (Total)	\$186,780
Annual Market Rent (Total)	\$219,240

RENT BANDS (IN-PLACE)

UNIT TYPE	UNITS	AVG IN-PLACE	AVG MARKET	GAP (\$)	GAP (%)
1 Bed	6	\$1,173	\$1,395	\$222	19.0%
2 Bed	6	\$1,422	\$1,650	\$228	16.1%

Data Coverage & Underwriting Gaps

Missing inputs and omitted sections

CORE INPUT COVERAGE CONFIRMED: T12 and Rent Roll Verified.

Core financial inputs (T12, Rent Roll, and available structured debt data) were extracted and incorporated into underwriting analysis. Supplemental documents that are not converted into structured report inputs are not used quantitatively. Unsupported or unstructured uploads remain excluded from modeled outputs.

DATASET	FIELDS PRESENT	COVERAGE	MISSING
T12 Operating Statement	4/4	100.0%	None
Rent Roll	4/4	100.0%	None

Scenario Analysis & Five-Year Outlook

Cash flow projections and return sensitivities

SCENARIO INPUTS

YEAR	CONSERVATIVE (2% GROWTH)	BASE (3% GROWTH)	OPTIMISTIC (4% GROWTH)
Year 1	\$67,710	\$68,373	\$69,037
Year 2	\$69,064	\$70,425	\$71,799
Year 3	\$70,445	\$72,537	\$74,671
Year 4	\$71,854	\$74,714	\$77,658
Year 5	\$73,291	\$76,955	\$80,764
Year 5 Exit Value	\$1,172,657	\$1,231,279	\$1,292,222

Basis: T12 NOI = \$66,382 | Exit cap: 6.25% (document derived). Scenario outputs are deterministic from document-backed inputs.

YEAR 5 EXIT VALUE: CAP RATE SENSITIVITY

EXIT CAP RATE	CONSERVATIVE	BASE	OPTIMISTIC
4.5%	\$1,628,691	\$1,710,110	\$1,794,752
5.0%	\$1,465,822	\$1,539,099	\$1,615,277
5.5%	\$1,332,565	\$1,399,181	\$1,468,434
6.0%	\$1,221,518	\$1,282,582	\$1,346,064
6.25% (document derived)	\$1,172,657	\$1,231,279	\$1,292,222
6.5%	\$1,127,555	\$1,183,922	\$1,242,521

Deal Scorecard & Radar

InvestorIQ deal score components

FACTOR-LEVEL SCORES

Review – Debt Coverage Constraint

Composite Score: 75 / 100

FACTOR	VALUE	THRESHOLD	SCORE
Expense Ratio	64.5%	55–65%	6/10
NOI Margin	35.5%	35–45%	6/10
Occupancy Rate	100.0%	Above 95%	10/10
Break-Even Occupancy	64.5%	Below 70%	10/10
Rent-to-Market Gap	17.4%	>15% upside	10/10
DSCR (Computed)	1.00x	Below 1.25x	3/10
Composite Score (normalized)			75/100

Composite score is calculated from reported metrics only. Base score thresholds: Within Underwriting Parameters ≥ 70 | Review 50–69 | Outside Parameters < 50. DSCR below 1.25x or not assessed applies a mandatory Review verdict cap.

RISK REGISTER: DETERMINISTIC SIGNAL SUMMARY

RISK FACTOR	CURRENT READING	THRESHOLD	FLAG
Expense Ratio	64.5%	CLEAR < 55% WATCH 55–65% ELEVATED > 65%	WATCH
NOI Margin	35.5%	STRONG > 45% WATCH 35–45% LOW < 35%	WATCH
Occupancy Rate	100.0%	CLEAR > 95% WATCH 85–95% LOW < 85%	CLEAR
Break-Even Occupancy	64.5%	CLEAR < 70% WATCH 70–80% ELEVATED > 80%	CLEAR
Rent-to-Market Gap	17.4% below market	> 15% = meaningful upside 5–15% = moderate < 5% = minimal	UPSIDE
DSCR (Current Debt)	1.00x	STRONG > 1.35x ADEQUATE 1.25–1.35x STRESSED < 1.25x	STRESSED

Signals are derived deterministically from document-backed inputs and framework-constrained calculations. Missing inputs are not inferred.

Discounted Cash Flow (DCF)

Cap rate expansion, exit sensitivity, and downside valuation pressure

YEAR	NOI	EXIT VALUE	TOTAL CASH FLOW	PV FACTOR	PRESENT VALUE
Year 1	\$68,373	-	\$68,373	0.9259	\$63,309
Year 2	\$70,425	-	\$70,425	0.8573	\$60,378
Year 3	\$72,537	-	\$72,537	0.7938	\$57,583
Year 4	\$74,714	-	\$74,714	0.7350	\$54,917
Year 5	\$76,955	\$1,231,279	\$1,308,234	0.6806	\$890,362
Estimated Intrinsic Value (Sum of PVs)					\$1,126,548

Basis: T12 NOI = \$66,382 | Annual NOI growth: 3.0% (stated) | Discount rate: 8.0% (stated) | Exit cap: 6.25% (document derived)

INTRINSIC VALUE: EXIT CAP RATE SENSITIVITY

EXIT CAP RATE	YEAR 5 EXIT VALUE	IMPLIED INTRINSIC VALUE	VS. BASE
4.5%	\$1,710,110	\$1,452,432	28.9%
5.0%	\$1,539,099	\$1,336,045	18.6%
5.5%	\$1,399,181	\$1,240,819	10.1%
6.0%	\$1,282,582	\$1,161,464	3.1%
6.25% (document derived)	\$1,231,279	\$1,126,548	-
6.5%	\$1,183,922	\$1,094,317	-2.9%

Methodology & Data Transparency

Assumptions, methodology notes, and data limitations

InvestorIQ does not assume or gap-fill missing data. Outputs are primarily attributable to uploaded documents and defined modeling frameworks, with transparency and auditability as core design principles.

Assumptions in this memorandum are permitted only when anchored to uploaded documents or standardized underwriting frameworks. InvestorIQ does not invent missing data or fabricate market inputs.

InvestorIQ Estimates

InvestorIQ estimates are document-backed and framework-constrained, using uploaded documents and standardized underwriting frameworks. When required inputs are missing, those estimates are omitted rather than inferred.

Methodology Notes

Metrics and tables reflect document-backed inputs, deterministic calculations, and framework-constrained outputs. Missing source data is not gap-filled.

Data Limitations & Missing Inputs

This memorandum is limited to the documents provided and the fields that could be verified. Missing values are disclosed and excluded from analysis.